

Multiple touches. A well-formed rising wedge has multiple touches of the trendline boundaries. The figure shows the touches labeled 1 through 5. Fewer than five touches, three on one side and two on the other, should cast the wedge in a dim light. It might not be a rising wedge at all. Each trendline touch should be a minor high or minor low. If price slides through a trendline, then that location does not count as a touch.

In the figure, you'll notice that neither of the breakouts from the wedges qualify as a trendline touch.

Whitespace. You'll want to see price crossing the pattern from top to bottom plenty of times to cover the whitespace with price movement. Having too much whitespace means you made an identification mistake.

Volume. A receding volume trend is another element common to most rising wedges. Volume trends downward and becomes especially low just before the breakout. However, this is not an absolute rule.

If you suspect a wedge is forming but it has a rising volume trend, then ignore the volume trend. Review the other guidelines (especially the number of touches and whitespace) to make sure the chart pattern resembles a rising wedge. If there is doubt, do not invest until the stock breaks out of the chart pattern. Not trading a wedge until after the breakout is almost always a wise course of action for many types of chart patterns.